

moderation, especially in the entry passenger vehicle and two-wheeler segments, due to falling affordability and longer replacement cycles. Global trade policy uncertainty, including proposed US tariffs of up to 50%, could indirectly impact export competitiveness and input costs. There's also a structural vulnerability around imported critical raw materials like rare earths, and rural demand remains rainfall-dependent," says Sharma.

According to Primus Partners' Singh, sales growth in FY26 is expected to be flat because of a high base and moderate economic growth, projected around 6.5%.

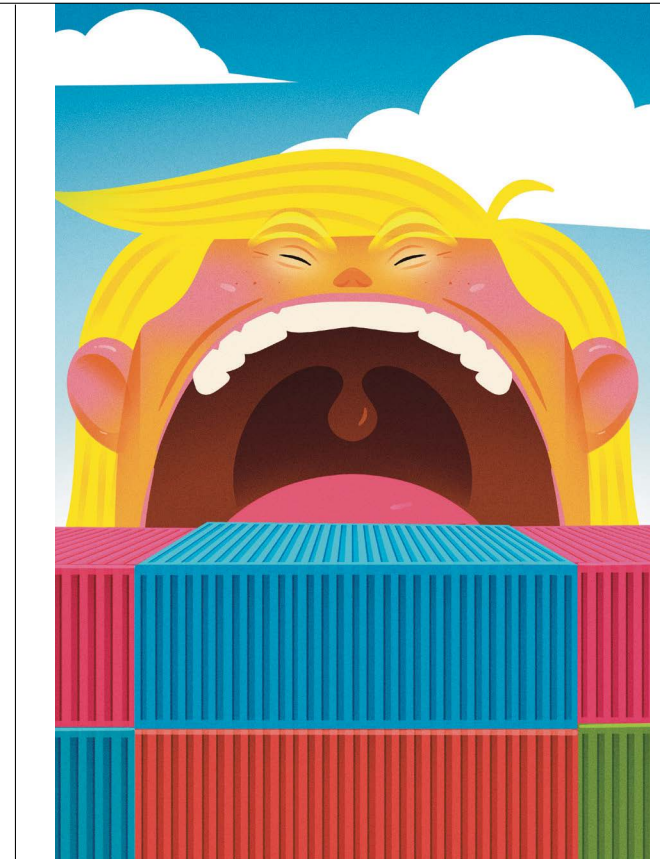
Rural demand has also weakened in the first few months of FY26. Partho Banerjee, Senior Executive Officer of Marketing and Sales at Maruti Suzuki, says rural growth tapered from 10% previously to 2-3% in the first quarter.

One of the biggest challenges would be a shortage of rare earth magnets. "EV powertrains using permanent-magnet motors depend on concentrated rare-earth supply. Price or supply shocks can raise costs significantly. Mitigation will involve technology substitution, local magnet processing, and strategic long-term offtake agreements," says Sharma.

EV penetration in India has surged from 2.2% in FY25 to 4.2%. A recent report by CareEdge says the share of EVs is likely to cross 7% in the next three fiscal years.

The 50% tariff imposed by US President Donald Trump is also likely to have a trickle-down impact on India's automotive industry. "The direct impact on domestic passenger vehicle sales will be minimal. But second-order effects on exports, component costs, and forex stability warrant scenario planning and export market diversification," says Sharma.

The industry is banking on the coming festive season to provide a respite. Plus, the expected cut in taxes as part of the coming GST rate rationalisation is expected to reduce prices of popular car models. "We anticipate gradual recovery in domestic demand sentiment, driven by the onset of monsoon and festive season coupled with govern-



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THE 50% TARIFF IMPOSED BY TRUMP IS LIKELY TO HAVE A TRICKLE-DOWN IMPACT ON INDIA'S AUTOMOTIVE INDUSTRY

ment policy measures," Unsoo Kim, Managing Director, Hyundai Motor India Ltd, told reporters after announcing the company's first-quarter earnings.

According to Sharma, in FY26, the growth momentum is likely to be the strongest in two-wheelers, followed by passenger vehicles, while the commercial vehicles segment will trail, even as the overall industry grows in low single digits. **BT**

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